

L&T Technology Services Limited

NOT RATED

Sector: IT Services

October 17, 2025

Key Changes	Target		Rating		Earnings
Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame
–	LTTS IN	–	LTTS	540115	12 Months

Target	–
CMP	–
Return	–

Data as of: September 30, 2025

Company Data	
Market Cap (Rs.cr)	–
52 Week High — Low (Rs.)	–
Enterprise Value (Rs. cr)	–
Outstanding Shares (cr)	–
Free Float (%)	–
Dividend Yield (%)	–
6m average volume (cr)	–
Beta	–
Face value (Rs.)	–

L&T Technology Services reports 16% YoY growth in Q2FY26

L&T Technology Services (LTTS) is a global leader in engineering and technology services. A listed subsidiary of Larsen & Toubro (L&T), we offer design, development, testing, and sustenance services across products and processes. Purposeful. Agile. Innovation. is how we drive growth across the Mobility, Sustainability and Tech segments. Our customer base includes 69 Fortune 500 companies and 57 top ER&D companies across industrial products, medical devices, transportation, telecom & hi-tech, and process industries. Headquartered in India, we have over 23,670 employees across 23 global design centers, 30 global sales offices, and 105 innovation labs, as of September 30, 2025.

- Revenue at ₹29,795 million; growth of 15.8% YoY and 4.0% QoQ.
- USD Revenue at \$337 million; growth of 10.4% YoY and 1.3% QoQ in CC terms.
- EBIT margin at 13.4%.
- Net profit at ₹3,287 million, growth of 2.8% YoY and 4.1% QoQ.
- Interim Dividend of ₹18 per share.
- Record high large deal TCV of ~USD 300 Mn.

Outlook & Valuation

LTTS’ strong momentum of large deal wins continued with a record high TCV of near-USD 300 Mn in the quarter which reflects the confidence our global clients have in our next-gen offerings. We delivered growth of 1.3% sequentially and 10.4% annually in CC terms with steady margins in the face of shifting market dynamics and geopolitical unpredictability. With an increased order book and a sharp focus on resilient and profitable growth, we expect both revenue and EBIT margins to see an improvement in H2 compared to H1 of FY26. We aspire for a double-digit growth in FY26 and reiterate our medium-term outlook of USD 2 Bn revenue.

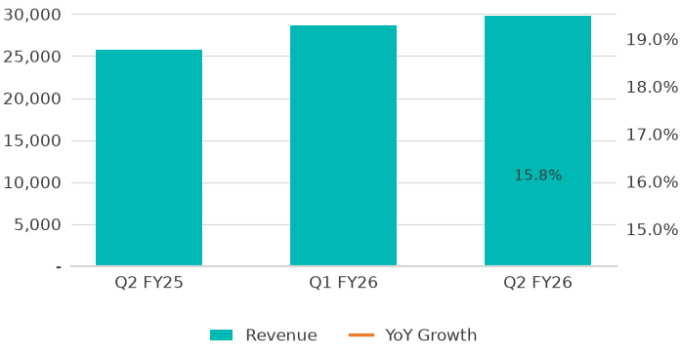
Quarterly Financials

Rs. mn	Q2 FY25	Q1 FY26	Q2 FY26	QoQ	YoY
Sales	25,729	28,660	29,795	–	–
% change	–	–	–	4.0	15.8
Cost of sales	18,192	20,625	21,462	–	–
Gross Profit	7,537	8,035	8,333	–	–
% change	–	–	–	3.7	10.6
Selling, General & Administration Expenses	2,877	3,411	3,425	–	–
EBITDA	4,660	4,624	4,908	–	–
% change	–	–	–	6.1	5.3
Depreciation	783	811	926	–	–
EBIT	3,877	3,813	3,982	–	–
% change	–	–	–	4.4	2.7
Interest	–	–	–	–	–
Other Income	531	512	498	–	–
PBT	4,408	4,325	4,480	–	–
% change	–	–	–	3.6	1.6
Tax	1,208	1,164	1,188	–	–
Tax Rate (%)	27.4	26.9	26.5	–	–
Reported PAT	3,196	3,157	3,287	–	–
PAT att. to common shareholders	3,192	3,153	3,282	–	–
Adj.*	–	–	–	–	–
Adj. PAT	3,192	3,153	3,282	–	–
% change	–	–	–	4.1	2.8
No. of shares (cr)	105.8	105.9	106.0	–	–
Adj EPS (Rs.)	30.20	29.81	31.02	–	–
% change	–	–	–	4.1	2.7

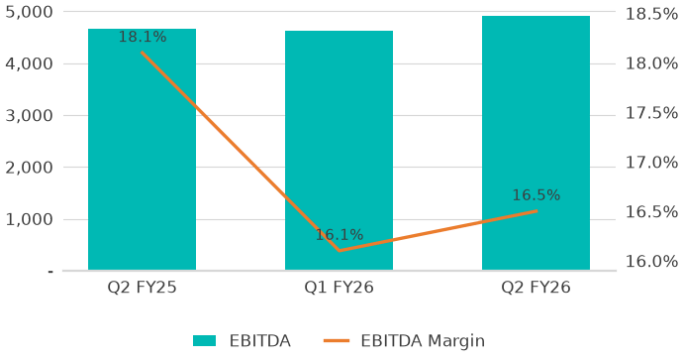
Key highlights

- LTTS announced a multi-year membership agreement with the MIT Media Lab to collaborate on AI-led innovations.
- LTTS was certified during Caterpillar’s 2025 Supplier Excellence Recognition (SER) event.
- Rated as Leaders by ISG in US for Medical Device Digital Services 2025 and Automotive and Mobility Services and Solutions.
- Signed a \$100 million multi-year agreement in its Sustainability segment with a U.S.-based industrial equipment manufacturer.
- Awarded a ~\$60 million multi-year program in the Tech segment by a U.S. based provider of wireless telecommunications services.
- Patents portfolio stood at 1,601, with 216 patents in AI/Gen AI.

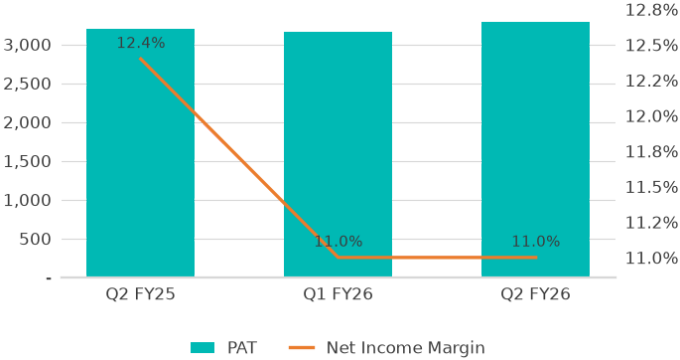
Revenue



EBITDA



PAT



Consolidated Financials

Profit & Loss

Rs. mn	Q2 FY25	Q1 FY26	Q2 FY26
Sales	25,729	28,660	29,795
% change	–	11.4	4.0
EBITDA	4,660	4,624	4,908
% change	–	-0.8	6.1
Depreciation	783	811	926
EBIT	3,877	3,813	3,982
Interest	–	–	–
Other Income	531	512	498
PBT	4,408	4,325	4,480
% change	–	-1.9	3.6
Tax	1,208	1,164	1,188
Tax Rate (%)	27.4	26.9	26.5
Reported PAT	3,196	3,157	3,287
PAT att. to common shareholders	3,192	3,153	3,282
Adj.*	–	–	–
Adj. PAT	3,192	3,153	3,282
% change	–	-1.2	4.1
No. of shares (cr)	105.8	105.9	106.0
Adj EPS (Rs.)	30.20	29.81	31.02
% change	–	-1.3	4.1
DPS (Rs.)	–	–	18.00

Cashflow

Rs. mn	FY25	YTD FY26
Net inc. + Depn.	–	–
Non-cash adj.	–	–
Other adjustments	–	–
Changes in W.C	–	–
C.F. Operation	14,811	4,809
Capital exp.	1,018	643
Change in inv.	–	–
Other invest.CF	–	–
C.F - Investment	–	–
Issue of equity	–	–
Issue/repay debt	–	–
Dividends paid	–	–
Other finance.CF	–	–
C.F - Finance	–	–
Chg. in cash	–	–
Closing Cash	–	–

Balance Sheet

Rs. mn	FY25	Q2 FY26
Cash	15,658	14,918
Accts. Receivable	29,165	31,987
Inventories	–	–
Other Cur. Assets	4,262	3,841
Investments	13,096	13,846
Gross Fixed Assets	–	–
Net Fixed Assets	9,063	9,362
CWIP	–	–
Intangible Assets	13,667	13,673
Def. Tax -Net	–	–
Other Assets	5,571	2,851
Total Assets	96,435	97,316
Current Liabilities	29,900	28,670
Provisions	–	–
Debt Funds	–	–
Other Liabilities	5,560	6,572
Equity Capital	–	–
Res. & Surplus	–	–
Shareholder Funds	60,800	61,890
Minority Interest	175	184
Total Liabilities	96,435	97,316
BVPS	–	–

Ratios

%	Q2 FY25	Q1 FY26	Q2 FY26
Profitab. & Return			
EBITDA margin (%)	18.1	16.1	16.5
EBIT margin (%)	15.1	13.3	13.4
Net profit mgn.(%)	12.4	11.0	11.0
ROE (%)	–	–	–
ROCE (%)	–	–	–
W.C & Liquidity			
Receivables (days)	–	–	–
Inventory (days)	–	–	–
Payables (days)	–	–	–
Current ratio (x)	–	–	–
Quick ratio (x)	–	–	–
Turnover &Leverage			
Gross asset T.O (x)	–	–	–
Total asset T.O (x)	–	–	–
Int. covge. ratio (x)	–	–	–
Adj. debt/equity (x)	–	–	–
Valuation			
EV/Sales (x)	–	–	–
EV/EBITDA (x)	–	–	–
P/E (x)	–	–	–
P/BV (x)	–	–	–

Recommendation Summary

No price history available.

Dates	Rating	Target
No prior recommendation history		

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0%-10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/Sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%
Not rated/Neutral	-	-	-

Definitions: Buy: Acquire at the current market price (CMP), with the target mentioned in the note. Accumulate: Partial buying, or accumulate as the CMP dips in future. Hold: Hold the stock with the expected target mentioned in the note. Reduce: Reduce exposure to the stock due to limited upside. Sell: Exit the stock. Not rated/Neutral: The analyst has no investment opinion on the stock.

Symbols: ▲ Upgrade ● No Change ▼ Downgrade

Recommendations are based on a 12-month horizon unless otherwise specified. Investment ratings are on an absolute positive/negative return basis. Because of volatility in the near to medium term, there could be a temporary mismatch to a rating; for reasons of valuation, return or lack of clarity we may revisit the rating at an appropriate time. A stock always carries the risk of being upgraded or downgraded.

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